

Quarterly Report on Form 10-Q

HarborPoint Software, Inc. (NYSE: HPSW)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 2. Management's Discussion and Analysis

Total revenue was \$624 million for the quarter covered by this report, an increase of 13% compared with \$551 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 81.2% for the period, compared with 78.6% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$119 million, compared with \$91 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$88 million, compared with \$66 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Enterprise Software	351	306	69
Developer Tools	173	156	31
Analytics	100	89	19

Enterprise Software was the largest segment by revenue, contributing \$351 million during the period.

Condensed Consolidated Balance Sheets

Item	June 30, 2024	December 31, 2023
Total current assets	512,700	461,900
Total assets	1,687,500	1,522,800
Total current liabilities	274,600	251,700
Total liabilities	532,100	487,900
Total stockholders' equity	1,155,400	1,034,900

Total assets were \$1,687,500 thousand and total stockholders' equity was \$1,155,400 thousand at the end of the reporting period.

Condensed Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$207 million, compared with \$161 million in the comparable prior-year period. Net cash used in investing activities was \$71 million, while net cash used in financing activities was \$31 million.

Item 1A. Risk Factors

Our results depend on customer renewals, expansion spending, and continued demand for enterprise software. Customers may consolidate vendors or delay purchases.

Software defects, service interruptions, or security vulnerabilities could result in remediation costs and customer claims.

Competition in enterprise software and developer tools is intense, and rapid technology changes require continued research and product investment.

Item 4. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.